

prices such that, while you might not have netted a 100-bagger, you could easily have been up fifty-fold. And Amazon is not done.

You had to have trusted Bezos, and you had to have been clued into his thinking. If he wanted to, Bezos could cut R&D expenses, and Amazon would gush cash. Instead, he invests the money and creates new growth.

Thompson sums it up this way:

If you trust in Bezos, you're okay with the company having razor thin operating margins. In 2014, operating margins were 0.20%.

Adding back R&D, however, gets you an adjusted operating margin of 10%. I showed in the table above how remarkably consistent this trend is.

Making a fundamental case for Amazon, and getting a 100-bagger, would be very hard to do. Your best bet was to buy at the IPO and bet purely on growing retail sales. That chart on internet sales and trust in Bezos would be the keys to your thesis.

I make the fundamental case that in February of 2003, you could have bought Amazon based on trailing numbers and conservative assumptions. That would have brought your gains to 15x, or 26% compounded in 2014.

Thompson goes further and thinks that Amazon may be a buy even today. I'll share his analysis in the nearby table. Based on today's price, his analysis gets you a 127 percent return, or a compound annual return of 31 percent over the next 3 years.

"The biggest point to convey," Thompson wraps up, "is that return on capital is extremely important. If a company can continue to reinvest at high rates of return, the stock (and earnings) compound ... getting you that parabolic effect."

It's a point we will return to again and again.

Price on 5/28/25	\$427
Enterprise value	\$196,807
2014 Results	
Sales	\$88,988
Adj. Operating Income	\$9453